



House of Representatives

General Assembly

File No. 684

February Session, 2026

Substitute House Bill No. 5443

House of Representatives, April 20, 2026

The Committee on Finance, Revenue and Bonding reported through REP. HORN of the 64th Dist., Chairperson of the Committee on the part of the House, that the substitute bill ought to pass.

AN ACT CONCERNING THE SALES AND USE TAXES RATE FOR AND APPLICABILITY TO CERTAIN MOTOR VEHICLES, PEER-TO-PEER CAR SHARING AND CERTAIN PERSONAL PROPERTY USED IN BURIALS AND CREMATIONS, DEDICATING FUNDING FOR THE TOURISM FUND AND INCREASING THE EXEMPTION AMOUNT FOR SALES TAX-FREE WEEK.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

1 Section 1. Subdivision (1) of section 12-408 of the general statutes is
2 repealed and the following is substituted in lieu thereof (*Effective October*
3 *1, 2026, and applicable to sales occurring on or after October 1, 2026*):

4 (1) (A) For the privilege of making any sales, as defined in
5 subdivision (2) of subsection (a) of section 12-407, at retail, in this state
6 for a consideration, a tax is hereby imposed on all retailers at the rate of
7 six and thirty-five-hundredths per cent of the gross receipts of any
8 retailer from the sale of all tangible personal property sold at retail or
9 from the rendering of any services constituting a sale in accordance with
10 subdivision (2) of subsection (a) of section 12-407, except, in lieu of said

11 rate, the rates provided in subparagraphs (B) to (I), inclusive, of this
12 subdivision;

13 (B) (i) At a rate of fifteen per cent with respect to each transfer of
14 occupancy, from the total amount of rent received by a hotel or lodging
15 house for the first period not exceeding thirty consecutive calendar
16 days;

17 (ii) At a rate of eleven per cent with respect to each transfer of
18 occupancy, from the total amount of rent received by a bed and
19 breakfast establishment for the first period not exceeding thirty
20 consecutive calendar days;

21 (C) With respect to the sale of a motor vehicle to any individual who
22 is a member of the armed forces of the United States and is on full-time
23 active duty in Connecticut and who is considered, under 50 [App] USC
24 App 574, a resident of another state, or to any such individual and the
25 spouse thereof, at a rate of four and one-half per cent of the gross
26 receipts of any retailer from such sales, provided such retailer requires
27 and maintains a declaration by such individual, prescribed as to form
28 by the commissioner and bearing notice to the effect that false
29 statements made in such declaration are punishable, or other evidence,
30 satisfactory to the commissioner, concerning the purchaser's state of
31 residence under 50 [App] USC App 574;

32 (D) (i) With respect to the sales of computer and data processing
33 services occurring on or after July 1, 2001, at the rate of one per cent, and
34 (ii) with respect to sales of Internet access services, on and after July 1,
35 2001, such services shall be exempt from such tax;

36 (E) (i) With respect to the sales of labor that is otherwise taxable under
37 subparagraph (C) or (G) of subdivision (2) of subsection (a) of section
38 12-407 on existing vessels and repair or maintenance services on vessels
39 occurring on and after July 1, 1999, such services shall be exempt from
40 such tax;

41 (ii) With respect to the sale of a vessel, a motor for a vessel or a trailer

42 used for transporting a vessel, at the rate of two and ninety-nine-
43 hundredths per cent, except that the sale of a vessel shall be exempt from
44 such tax if such vessel is docked in this state for sixty or fewer days in a
45 calendar year;

46 (iii) With respect to the sale of dyed diesel fuel, as defined in
47 subsection (d) of section 12-487, sold by a marine fuel dock exclusively
48 for marine purposes, at the rate of two and ninety-nine-hundredths per
49 cent;

50 (F) With respect to patient care services for which payment is
51 received by the hospital on or after July 1, 1999, and prior to July 1, 2001,
52 at the rate of five and three-fourths per cent and on and after July 1, 2001,
53 such services shall be exempt from such tax;

54 (G) (i) With respect to the rental or leasing of a passenger motor
55 vehicle for a period of thirty consecutive calendar days or less, at a rate
56 of nine and thirty-five-hundredths per cent;

57 (ii) With respect to peer-to-peer car sharing, as defined in section 13b-
58 127, for a period of thirty consecutive calendar days or less, at a rate of
59 nine and thirty-five-hundredths per cent;

60 (H) With respect to the sale of (i) a motor vehicle for a sales price
61 exceeding [fifty] seventy-five thousand dollars, at a rate of seven and
62 three-fourths per cent on the entire sales price, (ii) jewelry, whether real
63 or imitation, for a sales price exceeding five thousand dollars, at a rate
64 of seven and three-fourths per cent on the entire sales price, and (iii) an
65 article of clothing or footwear intended to be worn on or about the
66 human body, a handbag, luggage, umbrella, wallet or watch for a sales
67 price exceeding one thousand dollars, at a rate of seven and three-
68 fourths per cent on the entire sales price. For purposes of this
69 subparagraph, "motor vehicle" has the meaning provided in section 14-
70 1, but does not include a motor vehicle subject to the provisions of
71 subparagraph (C) of this subdivision, a motor vehicle having a gross
72 vehicle weight rating over twelve thousand five hundred pounds, or a
73 motor vehicle having a gross vehicle weight rating of twelve thousand

74 five hundred pounds or less that is not used for private passenger
75 purposes, but is designed or used to transport merchandise, freight or
76 persons in connection with any business enterprise and issued a
77 commercial registration or more specific type of registration by the
78 Department of Motor Vehicles;

79 (I) With respect to the sale of meals, as defined in subdivision (13) of
80 section 12-412, sold by an eating establishment, caterer or grocery store;
81 and spirituous, malt or vinous liquors, soft drinks, sodas or beverages
82 such as are ordinarily dispensed at bars and soda fountains, or in
83 connection therewith; in addition to the tax imposed under
84 subparagraph (A) of this subdivision, at the rate of one per cent;

85 (J) The rate of tax imposed by this chapter shall be applicable to all
86 retail sales upon the effective date of such rate, except that a new rate
87 that represents an increase in the rate applicable to the sale shall not
88 apply to any sales transaction wherein a binding sales contract without
89 an escalator clause has been entered into prior to the effective date of the
90 new rate and delivery is made within ninety days after the effective date
91 of the new rate. For the purposes of payment of the tax imposed under
92 this section, any retailer of services taxable under subdivision (37) of
93 subsection (a) of section 12-407, who computes taxable income, for
94 purposes of taxation under the Internal Revenue Code of 1986, or any
95 subsequent corresponding internal revenue code of the United States,
96 as amended from time to time, on an accounting basis that recognizes
97 only cash or other valuable consideration actually received as income
98 and who is liable for such tax only due to the rendering of such services
99 may make payments related to such tax for the period during which
100 such income is received, without penalty or interest, without regard to
101 when such service is rendered;

102 (K) (i) For calendar quarters ending on or after September 30, 2019,
103 the commissioner shall deposit into the regional planning incentive
104 account, established pursuant to section 4-66k, six and seven-tenths per
105 cent of the amounts received by the state from the tax imposed under
106 subparagraph (B) of this subdivision and ten and seven-tenths per cent

107 of the amounts received by the state from the tax imposed under
108 subparagraph (G)(i) of this subdivision;

109 (ii) For calendar quarters ending on or after September 30, 2018, the
110 commissioner shall deposit into the Tourism Fund established under
111 section 10-395b ten per cent of the amounts received by the state from
112 the tax imposed under subparagraph (B) of this subdivision;

113 (L) (i) For calendar months commencing on or after July 1, 2021, but
114 prior to July 1, 2023, the commissioner shall deposit into the municipal
115 revenue sharing account established pursuant to section 4-66l seven and
116 nine-tenths per cent of the amounts received by the state from the tax
117 imposed under subparagraph (A) of this subdivision, including such
118 amounts received on or after July 1, 2023, attributable to the fiscal year
119 ending June 30, 2023; and

120 (ii) For calendar months commencing on or after July 1, 2023, the
121 commissioner shall deposit into the Municipal Revenue Sharing Fund
122 established pursuant to section 4-66p seven and nine-tenths per cent of
123 the amounts received by the state from the tax imposed under
124 subparagraph (A) of this subdivision; [and]

125 (M) (i) For calendar months commencing on or after July 1, 2017, the
126 commissioner shall deposit into the Special Transportation Fund
127 established under section 13b-68 seven and nine-tenths per cent of the
128 amounts received by the state from the tax imposed under
129 subparagraph (A) of this subdivision;

130 (ii) For calendar months commencing on or after July 1, 2018, but
131 prior to July 1, 2019, the commissioner shall deposit into the Special
132 Transportation Fund established under section 13b-68 eight per cent of
133 the amounts received by the state from the tax imposed under
134 subparagraphs (A) and (H) of this subdivision on the sale of a motor
135 vehicle;

136 (iii) For calendar months commencing on or after July 1, 2019, but
137 prior to July 1, 2020, the commissioner shall deposit into the Special

138 Transportation Fund established under section 13b-68 seventeen per
139 cent of the amounts received by the state from the tax imposed under
140 subparagraphs (A) and (H) of this subdivision on the sale of a motor
141 vehicle;

142 (iv) For calendar months commencing on or after July 1, 2020, but
143 prior to July 1, 2021, the commissioner shall deposit into the Special
144 Transportation Fund established under section 13b-68 twenty-five per
145 cent of the amounts received by the state from the tax imposed under
146 subparagraphs (A) and (H) of this subdivision on the sale of a motor
147 vehicle;

148 (v) For calendar months commencing on or after July 1, 2021, but
149 prior to July 1, 2022, the commissioner shall deposit into the Special
150 Transportation Fund established under section 13b-68 seventy-five per
151 cent of the amounts received by the state from the tax imposed under
152 subparagraphs (A) and (H) of this subdivision on the sale of a motor
153 vehicle; and

154 (vi) For calendar months commencing on or after July 1, 2022, the
155 commissioner shall deposit into the Special Transportation Fund
156 established under section 13b-68 one hundred per cent of the amounts
157 received by the state from the tax imposed under subparagraphs (A)
158 and (H) of this subdivision on the sale of a motor vehicle;

159 (N) For calendar quarters ending on or after December 31, 2026, the
160 commissioner shall deposit into the Special Transportation Fund
161 established under section 13b-68 one hundred per cent of the amounts
162 received by the state from the tax imposed under subparagraph (G)(ii)
163 of this subdivision; and

164 (O) For calendar months commencing on or after October 1, 2026, the
165 commissioner shall deposit into the Tourism Fund established under
166 section 10-395b fifty per cent of the amounts received by the state from
167 the tax imposed under subparagraph (I) of this subdivision.

168 Sec. 2. Subdivision (1) of section 12-411 of the general statutes is

169 repealed and the following is substituted in lieu thereof (*Effective October*
170 *1, 2026, and applicable to sales occurring on or after October 1, 2026*):

171 (1) (A) An excise tax is hereby imposed on the storage, acceptance,
172 consumption or any other use in this state of tangible personal property
173 purchased from any retailer for storage, acceptance, consumption or any
174 other use in this state, the acceptance or receipt of any services
175 constituting a sale in accordance with subdivision (2) of subsection (a)
176 of section 12-407, purchased from any retailer for consumption or use in
177 this state, or the storage, acceptance, consumption or any other use in
178 this state of tangible personal property which has been manufactured,
179 fabricated, assembled or processed from materials by a person, either
180 within or without this state, for storage, acceptance, consumption or any
181 other use by such person in this state, to be measured by the sales price
182 of materials, at the rate of six and thirty-five-hundredths per cent of the
183 sales price of such property or services, except, in lieu of said rate:

184 (B) (i) At a rate of fifteen per cent of the rent paid to a hotel or lodging
185 house for the first period not exceeding thirty consecutive calendar
186 days;

187 (ii) At a rate of eleven per cent of the rent paid to a bed and breakfast
188 establishment for the first period not exceeding thirty consecutive
189 calendar days;

190 (C) With respect to the storage, acceptance, consumption or use in
191 this state of a motor vehicle purchased from any retailer for storage,
192 acceptance, consumption or use in this state by any individual who is a
193 member of the armed forces of the United States and is on full-time
194 active duty in Connecticut and who is considered, under 50 [App] USC
195 App 574, a resident of another state, or to any such individual and the
196 spouse of such individual at a rate of four and one-half per cent of the
197 sales price of such vehicle, provided such retailer requires and
198 maintains a declaration by such individual, prescribed as to form by the
199 commissioner and bearing notice to the effect that false statements made
200 in such declaration are punishable, or other evidence, satisfactory to the
201 commissioner, concerning the purchaser's state of residence under 50

202 [App] USC App 574;

203 (D) (i) With respect to the acceptance or receipt in this state of labor
204 that is otherwise taxable under subparagraph (C) or (G) of subdivision
205 (2) of subsection (a) of section 12-407 on existing vessels and repair or
206 maintenance services on vessels occurring on and after July 1, 1999, such
207 services shall be exempt from such tax;

208 (ii) (I) With respect to the storage, acceptance or other use of a vessel
209 in this state, at the rate of two and ninety-nine-hundredths per cent,
210 except that such storage, acceptance or other use shall be exempt from
211 such tax if such vessel is docked in this state for sixty or fewer days in a
212 calendar year;

213 (II) With respect to the storage, acceptance or other use of a motor for
214 a vessel or a trailer used for transporting a vessel in this state, at the rate
215 of two and ninety-nine-hundredths per cent;

216 (III) With respect to the storage, acceptance or other use of dyed diesel
217 fuel, as defined in subsection (d) of section 12-487, exclusively for
218 marine purposes, at the rate of two and ninety-nine-hundredths per
219 cent;

220 (E) (i) With respect to the acceptance or receipt in this state of
221 computer and data processing services purchased from any retailer for
222 consumption or use in this state occurring on or after July 1, 2001, at the
223 rate of one per cent of such services, and (ii) with respect to the
224 acceptance or receipt in this state of Internet access services, on and after
225 July 1, 2001, such services shall be exempt from such tax;

226 (F) With respect to the acceptance or receipt in this state of patient
227 care services purchased from any retailer for consumption or use in this
228 state for which payment is received by the hospital on or after July 1,
229 1999, and prior to July 1, 2001, at the rate of five and three-fourths per
230 cent and on and after July 1, 2001, such services shall be exempt from
231 such tax;

232 (G) (i) With respect to the rental or leasing of a passenger motor

233 vehicle for a period of thirty consecutive calendar days or less, at a rate
234 of nine and thirty-five-hundredths per cent;

235 (ii) With respect to peer-to-peer car sharing, as defined in section 13b-
236 127, for a period of thirty consecutive calendar days or less, at a rate of
237 nine and thirty-five-hundredths per cent;

238 (H) With respect to the acceptance or receipt in this state of (i) a motor
239 vehicle for a sales price exceeding [fifty] seventy-five thousand dollars,
240 at a rate of seven and three-fourths per cent on the entire sales price, (ii)
241 jewelry, whether real or imitation, for a sales price exceeding five
242 thousand dollars, at a rate of seven and three-fourths per cent on the
243 entire sales price, and (iii) an article of clothing or footwear intended to
244 be worn on or about the human body, a handbag, luggage, umbrella,
245 wallet or watch for a sales price exceeding one thousand dollars, at a
246 rate of seven and three-fourths per cent on the entire sales price. For
247 purposes of this subparagraph, "motor vehicle" has the meaning
248 provided in section 14-1, but does not include a motor vehicle subject to
249 the provisions of subparagraph (C) of this subdivision, a motor vehicle
250 having a gross vehicle weight rating over twelve thousand five hundred
251 pounds, or a motor vehicle having a gross vehicle weight rating of
252 twelve thousand five hundred pounds or less that is not used for private
253 passenger purposes, but is designed or used to transport merchandise,
254 freight or persons in connection with any business enterprise and issued
255 a commercial registration or more specific type of registration by the
256 Department of Motor Vehicles;

257 (I) With respect to the acceptance or receipt in this state of meals, as
258 defined in subdivision (13) of section 12-412, sold by an eating
259 establishment, caterer or grocery store; and spirituous, malt or vinous
260 liquors, soft drinks, sodas or beverages such as are ordinarily dispensed
261 at bars and soda fountains, or in connection therewith; in addition to the
262 tax imposed under subparagraph (A) of this subdivision, at the rate of
263 one per cent;

264 (J) (i) For calendar quarters ending on or after September 30, 2019, the
265 commissioner shall deposit into the regional planning incentive

266 account, established pursuant to section 4-66k, six and seven-tenths per
267 cent of the amounts received by the state from the tax imposed under
268 subparagraph (B) of this subdivision and ten and seven-tenths per cent
269 of the amounts received by the state from the tax imposed under
270 subparagraph (G)(i) of this subdivision;

271 (ii) For calendar quarters ending on or after September 30, 2018, the
272 commissioner shall deposit into the Tourism Fund established under
273 section 10-395b ten per cent of the amounts received by the state from
274 the tax imposed under subparagraph (B) of this subdivision;

275 (K) (i) For calendar months commencing on or after July 1, 2021, but
276 prior to July 1, 2023, the commissioner shall deposit into the municipal
277 revenue sharing account established pursuant to section 4-66l seven and
278 nine-tenths per cent of the amounts received by the state from the tax
279 imposed under subparagraph (A) of this subdivision, including such
280 amounts received on or after July 1, 2023, attributable to the fiscal year
281 ending June 30, 2023; and

282 (ii) For calendar months commencing on or after July 1, 2023, the
283 commissioner shall deposit into the Municipal Revenue Sharing Fund
284 established pursuant to section 4-66p seven and nine-tenths per cent of
285 the amounts received by the state from the tax imposed under
286 subparagraph (A) of this subdivision; [and]

287 (L) (i) For calendar months commencing on or after July 1, 2017, the
288 commissioner shall deposit into said Special Transportation Fund seven
289 and nine-tenths per cent of the amounts received by the state from the
290 tax imposed under subparagraph (A) of this subdivision;

291 (ii) For calendar months commencing on or after July 1, 2018, but
292 prior to July 1, 2019, the commissioner shall deposit into the Special
293 Transportation Fund established under section 13b-68 eight per cent of
294 the amounts received by the state from the tax imposed under
295 subparagraphs (A) and (H) of this subdivision on the acceptance or
296 receipt in this state of a motor vehicle;

297 (iii) For calendar months commencing on or after July 1, 2019, but
298 prior to July 1, 2020, the commissioner shall deposit into the Special
299 Transportation Fund established under section 13b-68 seventeen per
300 cent of the amounts received by the state from the tax imposed under
301 subparagraphs (A) and (H) of this subdivision on the acceptance or
302 receipt in this state of a motor vehicle;

303 (iv) For calendar months commencing on or after July 1, 2020, but
304 prior to July 1, 2021, the commissioner shall deposit into the Special
305 Transportation Fund established under section 13b-68 twenty-five per
306 cent of the amounts received by the state from the tax imposed under
307 subparagraphs (A) and (H) of this subdivision on the acceptance or
308 receipt in this state of a motor vehicle;

309 (v) For calendar months commencing on or after July 1, 2021, but
310 prior to July 1, 2022, the commissioner shall deposit into the Special
311 Transportation Fund established under section 13b-68 seventy-five per
312 cent of the amounts received by the state from the tax imposed under
313 subparagraphs (A) and (H) of this subdivision on the acceptance or
314 receipt in this state of a motor vehicle; and

315 (vi) For calendar months commencing on or after July 1, 2022, the
316 commissioner shall deposit into the Special Transportation Fund
317 established under section 13b-68 one hundred per cent of the amounts
318 received by the state from the tax imposed under subparagraphs (A)
319 and (H) of this subdivision on the acceptance or receipt in this state of a
320 motor vehicle;

321 (M) For calendar quarters ending on or after December 31, 2026, the
322 commissioner shall deposit into the Special Transportation Fund
323 established under section 13b-68 one hundred per cent of the amounts
324 received by the state from the tax imposed under subparagraph (G)(ii)
325 of this subdivision; and

326 (N) For calendar months commencing on or after October 1, 2026, the
327 commissioner shall deposit into the Tourism Fund established under
328 section 10-395b fifty per cent of the amounts received by the state from

329 the tax imposed under subparagraph (I) of this subdivision.

330 Sec. 3. Subdivision (55) of section 12-412 of the 2026 supplement to
331 the general statutes is repealed and the following is substituted in lieu
332 thereof (*Effective October 1, 2026, and applicable to sales occurring on or after*
333 *October 1, 2026*):

334 (55) Sales of (A) tangible personal property by any funeral
335 establishment performing the primary services in preparation for and
336 the conduct of burial or cremation, provided any such property must be
337 used directly in the performance of such services and the total amount
338 of such exempt sales with respect to any single funeral may not exceed
339 [two thousand five hundred] ten thousand dollars, or (B) caskets used
340 for burial or cremation.

341 Sec. 4. Section 12-407e of the general statutes is repealed and the
342 following is substituted in lieu thereof (*Effective from passage*):

343 (a) [(1) From the third Sunday in August until the Saturday next
344 succeeding, inclusive, during the period beginning July 1, 2004, and
345 ending June 30, 2015, the provisions of this chapter shall not apply to
346 sales of any article of clothing or footwear intended to be worn on or
347 about the human body the cost of which article to the purchaser is less
348 than three hundred dollars.

349 (2) On and after July 1, 2015, from] From the third Sunday in August
350 until the Saturday next succeeding, inclusive, the provisions of this
351 chapter shall not apply to sales of any article of clothing or footwear
352 intended to be worn on or about the human body or to any backpack,
353 the cost of which article or backpack to the purchaser is less than [one]
354 three hundred dollars.

355 (b) For the purposes of this section, clothing or footwear shall not
356 include (1) any special clothing or footwear primarily designed for
357 athletic activity or protective use and which is not normally worn except
358 when used for the athletic activity or protective use for which it was
359 designed, and (2) jewelry, handbags, luggage other than backpacks,

360 umbrellas, wallets, watches and similar items carried on or about the
 361 human body but not worn on the body in the manner characteristic of
 362 clothing intended for exemption under this section.

This act shall take effect as follows and shall amend the following sections:		
Section 1	<i>October 1, 2026, and applicable to sales occurring on or after October 1, 2026</i>	12-408(1)
Sec. 2	<i>October 1, 2026, and applicable to sales occurring on or after October 1, 2026</i>	12-411(1)
Sec. 3	<i>October 1, 2026, and applicable to sales occurring on or after October 1, 2026</i>	12-412(55)
Sec. 4	<i>from passage</i>	12-407e

FIN *Joint Favorable Subst.*

The following Fiscal Impact Statement and Bill Analysis are prepared for the benefit of the members of the General Assembly, solely for purposes of information, summarization and explanation and do not represent the intent of the General Assembly or either chamber thereof for any purpose. In general, fiscal impacts are based upon a variety of informational sources, including the analyst's professional knowledge. Whenever applicable, agency data is consulted as part of the analysis, however final products do not necessarily reflect an assessment from any specific department.

OFA Fiscal Note

State Impact:

Agency Affected	Fund-Effect	FY 27 \$	FY 28 \$
Revenue Serv., Dept.	Various - Revenue Impact	See Below	See Below

Note: Various=Various

Municipal Impact: None

Explanation

The bill makes various changes to the sales and use tax listed below. **Table 1** provides the FY 27 impact of each policy change under the bill. **Table 2** summarizes the net impact of this bill by Fund.

Table 1: Impact of HB 5443 by Policy – in millions

Section	Policy	Fund	FY 27	FY 28
Secs 1 & 2	Tax peer-to-peer services at the 9.35% rate	STF	0.7	0.9
Secs 1 & 2	Increase the luxury tax thresholds for the 7.75% luxury sales tax rate from \$50,000 to \$75,000	STF	(14.5)	(19.8)
Secs 1 & 2	Dedicate 50% of the 1% meals tax to the Tourism Fund	GF	(44.5)	(60.8)
		Tourism	44.5	60.8
Sec 3	Increase the sales tax exemption for certain personal property used in burials and cremations from \$2,500 to \$10,000	GF	(2.5)	(3.5)
		STF	(0.2)	(0.3)
		MRSF	(0.2)	(0.3)
		Total	(3.0)	(3.1)
Sec 4	Increase the threshold for the sales tax holiday from \$100 to \$300 and expanding the holiday to include backpacks	GF	(2.1)	(2.2)
		STF	(0.2)	(0.2)
		MRSF	(0.2)	(0.2)
		Total	(2.5)	(2.6)

Table 2: Net Impact of HB 5443 by Fund – in millions

Fund	FY 27	FY 28
General Fund (GF)	(49.1)	(66.4)
Special Transportation Fund (STF)	(14.2)	(19.4)
Tourism Fund	44.5	60.8
Municipal Revenue Sharing Fund (MRSF)	(0.4)	(0.5)
Net Total All Funds	(19.3)	(25.5)

The Out Years

The annualized ongoing fiscal impact identified above would continue into the future subject to inflation.

OLR Bill Analysis**sHB 5443**

AN ACT CONCERNING THE SALES AND USE TAXES RATE FOR AND APPLICABILITY TO CERTAIN MOTOR VEHICLES, PEER-TO-PEER CAR SHARING AND CERTAIN PERSONAL PROPERTY USED IN BURIALS AND CREMATIONS, DEDICATING FUNDING FOR THE TOURISM FUND AND INCREASING THE EXEMPTION AMOUNT FOR SALES TAX-FREE WEEK.

SUMMARY

This bill makes the following sales and use tax changes:

1. increases the sales price threshold for a motor vehicle subject to the 7.75% sales and use tax rate from \$50,000 to \$75,000 (§§ 1 & 2);
2. directs 50% of the additional 1% sales and use tax on meals and beverages to the Tourism Fund (§§ 1 & 2);
3. increases the exemption amount for “sales tax free week” from \$100 to \$300 and adds backpacks to list of exempt items (§ 4);
4. explicitly subjects short-term peer-to-peer (P2P) car sharing to the 9.35% sales and use tax rate applicable to passenger motor vehicle rentals or leases and directs this revenue to the Special Transportation Fund (§§ 1 & 2); and
5. increases the sales and use tax exemption for certain personal property used in burials and cremations from \$2,500 to \$10,000 (§ 3).

EFFECTIVE DATE: October 1, 2026, and applicable to sales occurring on or after that date, except that the changes to sales tax free week are effective upon passage.

§§ 1 & 2 — MOTOR VEHICLES SUBJECT TO LUXURY TAX RATE

The bill increases, from \$50,000 to \$75,000, the sales price threshold for motor vehicles subject to the 7.75% sales and use tax rate (known as the luxury tax rate).

By law, this rate applies to the full sales price of motor vehicles costing more than the threshold amount, except for vehicles (1) purchased by an active duty U.S. military member stationed in Connecticut; (2) weighing over 12,500 pounds; or (3) weighing 12,500 pounds or less that are designed or used for commercial purposes and issued a commercial or more specific type of registration from the Department of Motor Vehicles.

§§ 1 & 2 — MEALS AND BEVERAGES TAX DIVERSION TO TOURISM FUND

Existing law imposes an additional 1% tax on meals and certain beverages that applies on top of the 6.35% sales and use tax rate. Starting October 1, 2026, the bill directs half of the revenue from this 1% tax to the Tourism Fund.

Under current law, the Tourism Fund receives 10% of room occupancy tax revenue.

§§ 1 & 2 — SALES AND USE TAX ON PEER-TO-PEER CAR SHARING

The bill explicitly subjects short-term P2P car sharing to sales and use tax at the 9.35% rate that applies to short-term car rentals or leases under existing law (see BACKGROUND). As with car rentals and leases, the 9.35% tax rate applies only to P2P car sharing for periods of 30 consecutive days or less. By law, car rentals and leases for longer periods are subject to sales and use tax at the 6.35% rate.

Under the bill, the revenue from sales and use tax on short-term P2P car sharing must be directed to the Special Transportation Fund, starting with calendar quarters ending on or after December 31, 2026.

§ 3 — PERSONAL PROPERTY USED IN BURIALS AND CREMATIONS

Current law exempts from the 6.35% sales and use tax property sold by funeral homes and used directly in preparing and conducting burials and cremations, up to \$2,500 per funeral. The bill increases this exemption to up to \$10,000 per funeral.

§ 4 — SALES TAX FREE WEEK

The bill expands the sales and use tax exemption for clothing and footwear sold from the third Sunday in August through the following Saturday (sales tax free week) to (1) items costing less than \$300, rather than \$100, and (2) backpacks costing less than \$300.

Under current law, during this week, the state's 6.35% sales and use tax does not apply to clothing and footwear costing less than \$100, except for (1) special athletic and protective clothing and footwear not normally worn except for its specialized use and (2) jewelry, handbags, luggage, umbrellas, wallets, watches, and similar items that people carry but do not wear.

BACKGROUND***DRS Guidance on Peer-to-Peer Car Sharing and Sales and Use Tax***

In 2021, DRS issued guidance stating that P2P car sharing constitutes a lease of a motor vehicle under the sales and use tax laws and is taxable if the sale is made by a retailer (and not on a casual or isolated basis). The guidance notes that a 9.35% sales tax applies to the rental or lease of a passenger motor vehicle for a period of 30 consecutive days or less.

It further concluded that a P2P car sharing company that meets the law's definition of a marketplace facilitator must collect and remit tax on sales that take place on its platform. (Marketplace facilitators are generally businesses that (1) facilitate retail sales of at least \$250,000 during the previous 12-month period for sellers by providing a forum that lists or advertises the sellers' goods and services; (2) collect receipts from customers; (3) remit payments to sellers; and (4) are compensated for their services. By law, they are considered retailers for these sales

and, therefore, must collect and remit sales tax for them.)

Related Bills

sSB 1, §§ 1-2 & 7, favorably reported by the Finance, Revenue and Bonding Committee, exempts from sales and use tax (1) nonelectronic school supplies, including backpacks; (2) clothing and footwear costing less than \$100 (and correspondingly eliminates “sales tax free week” for these items); and (3) sandwiches, grinders, coffee, and tea prepared and sold in a supermarket for takeout, other than when they are sold in the food court or snack bar area (which are currently subject to the additional 1% meals and beverages tax).

sSB 2, §§ 2-5, favorably reported by the Finance, Revenue and Bonding Committee, dedicates half of the additional 1% tax on meals and beverages to the Tourism Fund and the other half to a new municipal diversification account, starting October 1, 2026.

sSB 84, §§ 28-31, favorably reported by the Finance, Revenue and Bonding Committee, has similar provisions.

COMMITTEE ACTION

Finance, Revenue and Bonding Committee

Joint Favorable Substitute

Yea 53 Nay 0 (03/31/2026)